

Chapter 3 Part I - Cost Accumulation and Measurement

Learning Objectives

Product costs	Cost Accumulation	Job costing and process costing
	Cost Measurement	Actual costing
		Normal costing
		Standard costing
	Cost Assignment or Allocation	Based on measurement chosen above

Why are Product Costs Important?

Control costs – reduce future costs

Assess profitability of products

Pricing decisions

Discounts on high-volume sales

Bids on contracts

Financial statement preparation

How to arrive at product costs – cost accumulation



Job Costing

Unique, custom-ordered products

Relatively small batches

Each unique product or batch is separate “job”

Examples: Boeing (airplanes), Custom-home builders, High-end jewelers, Accounting firms

Process Costing

Mass production of identical units

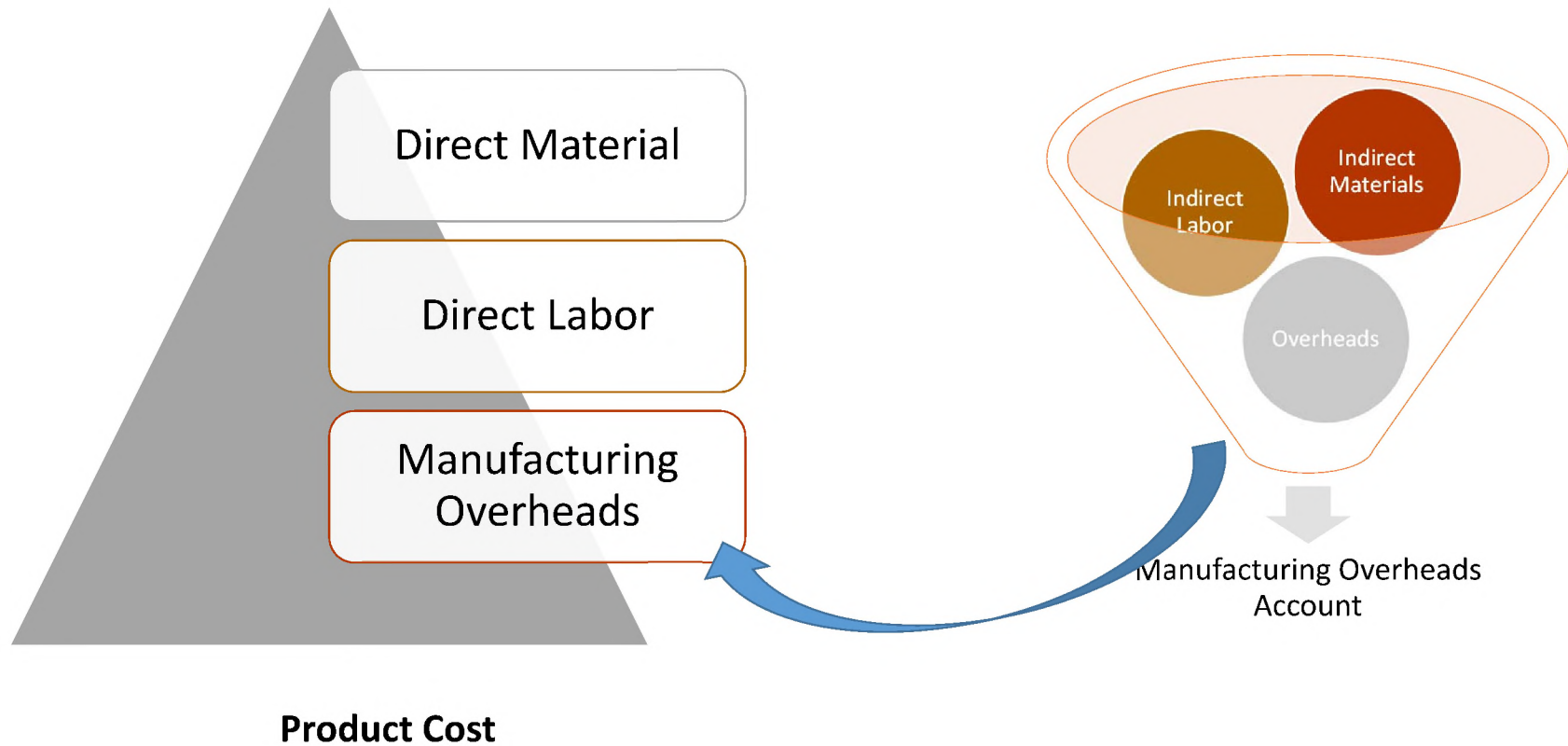
Uniform production steps/processes

Averages manufacturing costs across all units produced

Examples – food industry, pharmaceuticals.

Cost Measurement

Manufacturing Overheads



Cost Measurement - Types of Cost Systems

